

VERIFLOW ENTERPRISE SYSTEMS

Procurement & Expense Policy — Effective 2026

1. Purchase Approval Thresholds

Purchases under \$1,000 require department manager approval only.

Purchases between \$1,000 and \$10,000 require department manager approval plus Finance Director sign-off.

Purchases between \$10,000 and \$50,000 require VP approval and at least three competitive vendor quotes on file.

Purchases over \$50,000 require both CFO and CEO approval, and must go through a formal RFP process before any vendor is selected.

2. Vendor Payment Terms

Standard payment terms for all vendors are Net 30 from invoice receipt.

An early payment discount of 2% applies if payment is made within 10 days of invoice receipt (2/10 Net 30).

Payments made later than 45 days after invoice receipt require written justification and Finance Director sign-off.

New vendors must submit a completed W-9 and pass banking verification before their first payment can be issued.

3. Travel & Expense Reimbursement

Domestic flights must be booked in economy class at least 14 days in advance whenever possible.

Hotel reimbursement is capped at \$250 per night in major metro areas and \$150 per night in all other locations.

Meal reimbursement follows a per diem of \$75 per day. Alcohol is not reimbursable under any circumstance.

All reimbursement requests must be submitted within 30 days of the expense being incurred, or they will not be processed.

4. Vendor Selection & Sole-Source Purchases

Any purchase exceeding \$10,000 requires a minimum of three competitive quotes from different vendors before a selection is made.

Sole-source purchases, where competitive bidding is not performed, are only permitted with written justification approved directly by the CFO.

The preferred vendor list is maintained by the Procurement team and is formally reviewed once per year.

5. Invoice Discrepancy Handling

If an invoice amount differs from its corresponding purchase order by more than 5%, the invoice is automatically routed to the Finance Director for manual review before payment.

Duplicate invoice numbers submitted by the same vendor are automatically flagged and held pending manual review.

Any invoice that lacks a valid purchase order reference must be approved directly by the requesting department head before it can be paid.